Home Care, Assisted Living, Spend-Down, Annuity, Community Spouse: The Words You'll Meet When You Look Into Paying for Care

Eighteen words in one plain line each, and what to write down about each one for Dad.

You started reading about how families pay for long-term care and met three unfamiliar words in the first paragraph. These are the ones you're most likely to meet, each with one plain line from a public source and what to write down about it for Dad.

The definitions are for following the conversation. They aren't for working out what Dad would qualify for or what anything he owns would count as. Where the public sources checked for this sheet don't define a word, the sheet says so and leaves it for a professional.

Kinds of care

Long-term care

Mostly non-skilled help with activities of daily living, which the federal Administration for Community Living says makes up the majority of long-term care services. [1]

WRITE DOWN Nothing yet, if Dad is managing on his own. This is the phrase the rest of the sheet hangs on.

Home care

Care given at home. The Administration for Community Living notes that home care services are generally more expensive in the evening, on weekends and on holidays. [2]

WRITE DOWN Whether Dad has said he'd want help at home if he ever needed it, in his own words.

Assisted living

One kind of care facility. A facility may charge extra for services beyond the basic room, food and housekeeping, although some have all-inclusive fees. [2]

WRITE DOWN Anything Dad has said about where he would or wouldn't want to live.

Memory care

One of the kinds of care the roadmap's course covers. The public sources checked for this sheet don't define it, so ask any provider who uses the phrase what it means there.

WRITE DOWN Where you heard the phrase, and the question you'd ask about it.

Skilled nursing

One of the kinds of care the roadmap's course covers. The public sources checked for this sheet don't define it. They use “skilled” for the services Medicare may pay for, and say Medicare generally doesn't cover long-term care in a nursing home. [1] [3]

WRITE DOWN Nothing about Dad. Note it as a phrase to ask about if someone uses it.

Who pays

Medicare

It pays for long-term care only if a person requires skilled services or rehabilitative care, the Administration for Community Living says, and does not pay for non-skilled help with activities of daily living. [1]

WRITE DOWN The kind of Medicare coverage Dad has, copied from his card.

Medicaid

A joint federal and state program that helps pay health care costs for people who meet its requirements. It pays for the largest share of long-term care services, and programs vary from state to state. [3] [1]

WRITE DOWN The state Dad lives in, and what your family has heard about Medicaid, as questions.

Out of pocket (private pay)

Paying from a person's own income and savings. You pay for long-term care services that are not covered by a public or private insurance program, and most people who enter nursing homes start this way. [3] [1]

WRITE DOWN What Dad has, by name: income, savings, retirement accounts, property. Names are enough.

Veterans benefits

The Department of Veterans Affairs pays for long-term care services for service-related disabilities and for certain other eligible veterans. Co-pays may apply depending on the veteran's income level. [4]

WRITE DOWN Whether Dad or his spouse served, the branch and the years, and where his service papers are.

Insurance and financial tools

Long-term care insurance

An insurance policy designed to offer financial support to pay for long-term care services. To find out what a policy covers, check the policy or call the insurance company. [5] [3]

WRITE DOWN Whether Dad has one, the company, where the policy is kept, and when anyone last read it.

Life insurance

Some insurance companies will let a person use a life insurance policy to pay for long-term care, and the company is the one to ask about the options. The Administration for Community Living notes that using one such option may affect eligibility for Medicaid, and says to check with the state Medicaid agency. [3] [6]

WRITE DOWN Each policy, the company, and where the paperwork is. Any change someone suggests goes down as a question.

Annuity

A contract in which a person gives an insurance company money that is later distributed back to the person over time. The terms vary by product. [5] [7]

WRITE DOWN Whether Dad has one, the company, when it started, and where the contract is.

Financial runway

The roadmap's phrase for how long a person's resources could pay for care. Working it out takes real numbers and a professional. This sheet doesn't attempt it.

WRITE DOWN The question itself, on the list for your Medicaid planner.

Medicaid words

Countable assets

Assets whose value is counted in determining financial eligibility for Medicaid. Which of a person's assets those are is for a professional who knows the state to say. [5]

WRITE DOWN Nothing to sort on your own. Keep one list of what Dad has, and go through it with your Medicaid planner.

Exempt assets (non-countable assets)

Assets whose value is not counted in determining financial eligibility for Medicaid. Again, which ones is a question for a professional who knows the state. [5]

WRITE DOWN The same list. Don't mark anything exempt yourself.

Spend-down

A phrase for using a person's own money to pay for care. Medicare.gov uses it this way: someone paying out of pocket in a nursing home may eventually “spend down” their assets. What it would involve for one family depends on the state and the situation. [3]

WRITE DOWN What you've heard about it and from whom, as a question.

Community spouse

The spouse of a nursing home resident applying for or receiving Medicaid long-term care services. Medicaid.gov says federal provisions protect a certain amount of the couple's combined resources for the spouse living in the community. How much depends on the state and the couple's situation. [5] [8]

WRITE DOWN Whether Dad is married, and what his spouse relies on each month, in general terms.

Transfer of assets

Giving away property for less than it is worth or for the sole purpose of becoming eligible for Medicaid. You may hear “look-back” in the same breath; what either would mean for Dad is a question for your Medicaid planner or an elder law attorney. [5]

WRITE DOWN Any gift or change of ownership you know of, with the date. Anything someone is thinking of doing goes down as a question.

What this sheet doesn't do

It defines words in general terms. It doesn't give a figure or a limit, say which of Dad's things would be counted, or tell you whether he would qualify for anything, and it isn't legal, financial or tax advice. Those answers come from a professional who knows his state and his situation.

Ready for the next step?

You can follow the words now, and you've noted what each one touches for Dad. The planning interview is in plain language too: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

The definitions come from the sources below. Memory care and financial runway are the roadmap's own words; no public source checked for this sheet defines them. The notes on what to write down are ours.

1. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
2. Administration for Community Living (LongTermCare.gov), Costs of Care
3. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
4. Administration for Community Living (LongTermCare.gov), Veterans Affairs Benefits
5. Administration for Community Living (LongTermCare.gov), Glossary
6. Administration for Community Living (LongTermCare.gov), Using Life Insurance to Pay for Long-term Care
7. National Council on Aging, What Is an Annuity? Types, Costs, Benefits, and Risks
8. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment